

Palantir Technologies Inc.

PLTR NYSE

Hold	\$174.33 ▼ 4.49%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$418.93B
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PLTR: Profit-Taking After Huge August, Watch Defense Budget

WHAT HAPPENED

- PLTR ripped 51% in August and is now digesting — down 4.5% Friday on heavy volume. This is textbook profit-taking after a monster run, not a fundamental break. Cathie Wood (ARK) dumped \$25M worth, which sounds scary but is really just her rebalancing an oversized position — she's been trimming winners all year.
- The put/call ratio at 1.29 (people buying more downside protection than upside bets) tells you traders expect more chop near-term. Insiders are also selling in a cluster — never a green flag, though at these prices you can't blame them for taking chips off the table.

WHY IT MATTERS

Here's the read: PLTR just had a blow-off top month, and the market is now stress-testing whether \$174 is a floor or a ceiling. The fact that unusual options flow shows big put buying at \$175 and \$170 strikes suggests smart money is hedging, not fleeing — they think a pullback to \$160s is possible but aren't calling for a crash. The bigger picture is that PLTR has become the poster child for the "AI + government" trade, which means it now moves on defense budget headlines and AI executive orders as much as its own earnings. That's a double-edged sword: any hint the Pentagon slows AI procurement, or that Congress fights over the FY2027 defense authorization, and this thing gets cut fast because there's zero valuation cushion.

POLICY & POLITICAL WATCH

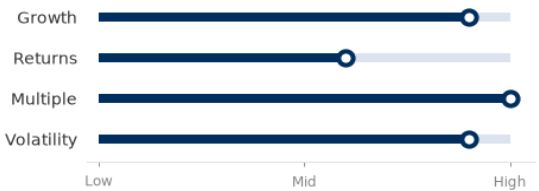
The FY2027 National Defense Authorization Act (NDAA) is the single biggest political catalyst — it's working through Congress now, and language around AI-enabled command systems and JADC2 (the military's connect-everything AI backbone) directly funds Palantir's Maven and TITAN programs. Watch also for any follow-through on the administration's AI export controls — if allied nations (UK, Australia, Israel, Gulf states) get greenlit for US AI defense tech, PLTR's international pipeline expands massively. On the risk side: any Congressional pushback on domestic surveillance/ICE contracts (PLTR does big work there) could create headline risk, though the current political environment is friendly to that spending.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$174.33
12M Price Target	\$185.00
Upside / (Downside)	+6.1%
Market Cap	\$418.93B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	281.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$195.00	\$178.00	\$155.00
6 Months	\$230.00	\$190.00	\$140.00
1 Year	\$260.00	\$185.00	\$120.00
2 Years	\$320.00	\$210.00	\$100.00
5 Years	\$500.00	\$280.00	\$90.00
10 Years	\$800.00	\$400.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+0.86% for the week) and specifically software/AI names — Snowflake earnings reignited the group, and the AI capex narrative remains the dominant market theme.

COOLING OFF: Real Estate, Materials, and Financials all red — classic risk-off rotation within the tape, with rates and cyclical under pressure.

ROTATION WATCH: Money is concentrating into mega-cap AI winners while abandoning speculative small-cap AI (BigBear.ai is down ~50% YTD). This "flight to quality within AI" actually helps PLTR — they're now considered the safe AI trade, weirdly.

RELATED PLAY: If you like the government AI thesis but hate PLTR's multiple, look at defense primes with AI exposure — Booz Allen (BAH), Leidos (LDOS), or a picks-and-shovels play like NVDA which sells GPUs into every AI contract PLTR wins.

WHO'S WINNING IN THIS SPACE?

- SNOW (Snowflake): Just reignited the software sector with a strong print — proving enterprise AI spending is still real.
- NVDA (Nvidia): Continues to be the shovel-seller for every AI buildout, including PLTR's own infrastructure.

PLTR CONTEXT: PLTR was THE leader in August (+51% vs tech sector barely positive), which means it's now the crowded trade. Being the leader on the way up means you're often the leader on the way down when sentiment shifts. The Friday drop while broader tech was green is a small warning sign — watch if it keeps underperforming its sector this week.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I don't love the price. If you already own it, hold; if you don't, don't chase here.

POSITION SIZE: 2-3% max. This stock can move 10% in a day both ways, so sizing discipline matters more than being right on direction.

ENTRY POINTS: I'd add in the \$150-160 zone on any macro fear pullback. Chasing \$175+ after a 51% month is how you buy tops.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is NDAA passage (fall/winter) and Q4 earnings to confirm commercial growth is still accelerating.

WHEN TO BAIL: If commercial revenue growth decelerates two quarters in a row, or if a major DoD program (Maven, TITAN) gets recompeted and PLTR loses share — I'm out.

HEDGING: Simplest hedge — if you're sitting on big gains, sell covered calls against your position to lock in some income while you decide. Or buy a put spread (a bet the stock falls to X but not below Y) to protect against a 20% drawdown cheaply.